



NITI Aayog

Strategy for

New India@75

STRATEGY FOR NEW INDIA @ 75

MODULE - 8

OBJECTIVES

BANKING FOR THE UNBANKED

- Ensuring universal access to bank accounts, which is a gateway to the financial services.
- Providing access to digital payment services and increasing the penetration.

SECURING THE UNSECURED

- Ensuring universal coverage of insurance for life, accidents, etc., and of pensions.
- Allowing diversification of asset portfolio of households through increased participation in the capital markets.

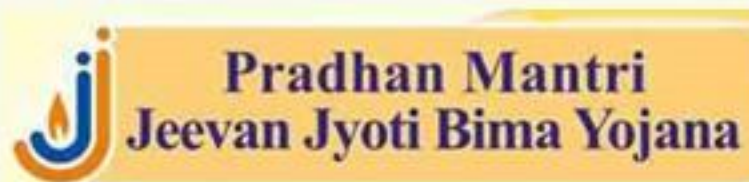
Better access to credit at a reasonable cost for those presently excluded is also one of the important objectives.

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FINANCIAL INCLUSION

PRESENT SCENARIO

GOVT. INITIATIVES

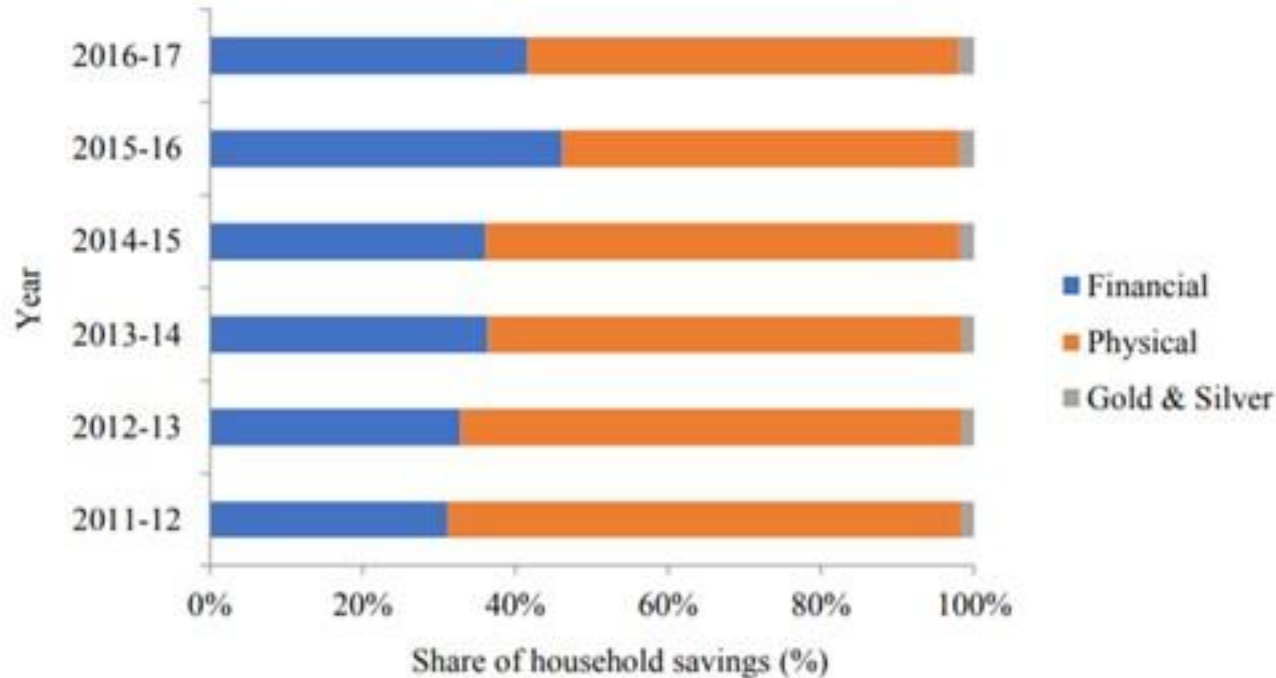


- Pradhan Mantri Jan Dhan Yojana
- Pradhan Mantri Mudra Yojana
- Stand-Up India Scheme
- Pradhan Mantri Jeevan Jyoti Bima Yojana
- Pradhan Mantri Suraksha Bima Yojana
- Atal Pension Yojana.

Promotion of Aadhaar and Direct Benefit Transfer schemes facilitated financial inclusion.

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National Institute for Transforming India

Distribution of household savings across physical and financial assets



Source: First Revised Estimates of National Income, Consumption Expenditure, Saving and Capital Formation for 2016-17, Central Statistics Office, January 2018

Though the importance of financial assets is increasing in the Indian households, physical assets continue to be the predominant asset class for savings for them.



PRESENT SCENARIO

HUGE HEADWAY ...

- In 2014, 53% of adults had a bank account and this increased to 80% in 2017 and comparable to China.
- Recent studies indicated increased use of bank accounts because of Jan-Dhan Scheme.
- There is also penetration of low cost insurance schemes and pension schemes.

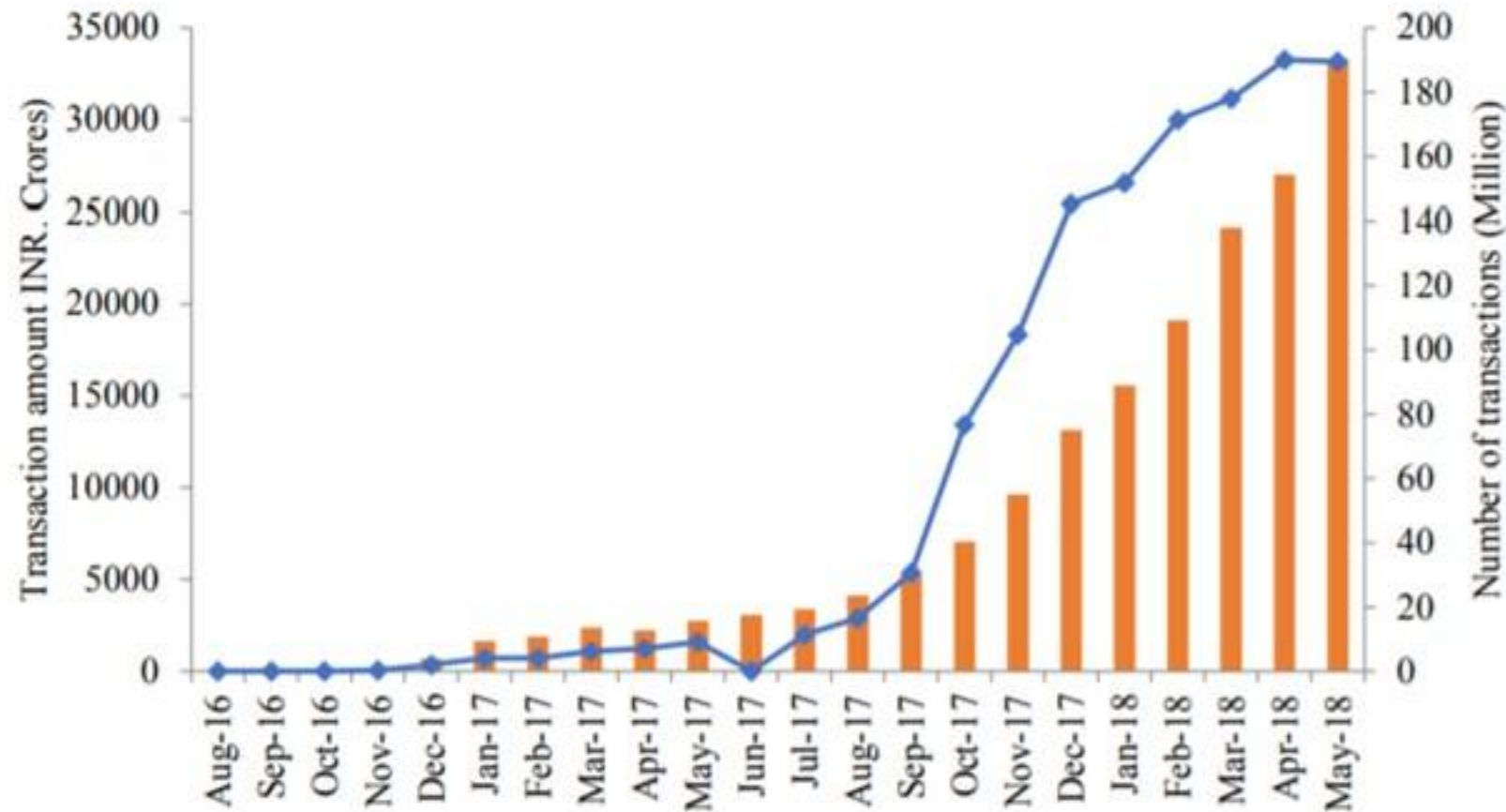
BUT, A LOT MORE NEEDS TO BE DONE!

- In India, the population using mobile money services in 2016 was only 1%, compared to 40% in Bangladesh, 81% in Kenya and 61% in Tanzania.
- In those countries, it is primarily driven by non-banking providers such as telecom companies using features like USSD.

After demonetization and the launch of the BHIM platform, penetration of mobile payments increased and several new initiatives such as Aadhaar-Enabled Payment Services, Payment Banks are expected to boost the use of mobile payments.

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Growth in unified payment interface (UPI) usage



Source: UPI Product Statistics: National Payments Corporation of India (NPCI)



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FINANCIAL INCLUSION

PRESENT SCENARIO

WHAT ABOUT ACCESS TO LOANS?



- The number of loan accounts per 1,000 adults was 154 in India.
- In comparison, the number of loan accounts per 1,000 in Bangladesh was 88, where as, 417 in South Africa and 231 in Kenya.
- Similarly, bank credit to GDP ratio is 51%, as compared to 98% in China in 2016.

CONSTRAINTS



MORE INFORMAL
ECONOMY AND LACK
OF FINANCIAL
LITERACY!



1

Lack of financial literacy amongst low income households and small informal businesses.

2

The high cost of operations of the traditional banking model.

3

Excessive regulatory requirements on products and market entry and conservative regulatory approach to new technologies.

WAY FORWARD

- 4** Promote paperless and online banking ...
- Ease transaction limits for e-KYC based deposit and loan accounts.
 - Make at least 25% of transactions through paperless loan accounts by 2022-23 and push for digital signature for loan accounts.
 - Expand digilocker services by including more issuers of documents.



FINANCIAL
LITERACY AND
ACCESS TO
CREDIT

- 1** Arthik Shiksha Abhiyan to improve financial literacy and it should be integrated with regular school curriculum and mass media campaign.

- 2** Better monetary incentives for Banking Correspondents and also better training.

- 3** Create a new data sharing framework that builds on the success of Jan-Dhan and Aadhaar platforms for easy access to credit.

WAY FORWARD

9 Unstructured Supplementary Service Data (USSD) channel should be promoted for Govt. and non-Govt. payment platforms and fee on failed USSD should be refunded to the consumers.

8 India Post Payment Bank and other payments banks can revolutionize the payments system like telecom companies did in Africa and other South Asian countries.



5 Existing gaps in land records such as transfers of ancestral properties, regularisation of colonies is to be initiated.

6 A central land holding register could be maintained and to be ensured in a digital format.

7 Use technology to assess credit worthiness of households and informal businesses.

WAY FORWARD

- 13** Lock-in period for gold bonds should be reduced to make them more attractive.



- 10** Misselling of insurance and pension products should be tackled by overhauling the regulatory framework.

- 11** Simplification of broker regulations can be made and restrictions on payment of incentives and bonuses to the agents of insurance can be removed.

INCENTIVES FOR
INSURANCE
AGENTS AND EASE
KYC RESTRICTIONS



- 12** KYC restrictions on the capital markets can be eased and linked to other KYC information to enable Ease of Doing Business.

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SINCERE THANKS
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